OCEAN CARRIER SERVICE AGREEMENT

Agreement No. PBL-CFG-2026-0142

between Pacific Blue Lines, Ltd. (Carrier) and Contoso Freight Group, LLC (Forwarder/NVOCC)

FICTIONAL DOCUMENT FOR M365 COPILOT TRAINING — not a binding contract.

1. Parties and Term

This Ocean Carrier Service Agreement (the “Agreement”) is made effective January 1, 2026 between Pacific Blue Lines, Ltd. (“Carrier”) and Contoso Freight Group, LLC (“Forwarder”). The Agreement has an initial term of twelve (12) months and renews automatically for successive twelve-month terms unless either party gives sixty (60) days’ written notice of non-renewal.

2. Scope of Service

Carrier shall provide ocean transportation of containerized cargo on the transpacific trade lanes identified in Section 4 between the named origin ports in Asia and the Port of Long Beach, California. Service is weekly, subject to vessel schedules published by Carrier.

3. Minimum Quantity Commitment

Forwarder commits to a Minimum Quantity Commitment (MQC) of one thousand two hundred (1,200) forty-foot-equivalent units (FEU) during each twelve-month term. If Forwarder tenders less than 90% of the MQC, Carrier may apply a deficit adjustment of $150 per FEU on the shortfall.

4. Base Rates

The following base ocean freight rates apply for the term, exclusive of the surcharges described in Section 5:

Lane	Equipment	Base Rate (USD)	Transit (days)
Shanghai – Long Beach	40' HC (FEU)	$2,650	18
Shenzhen – Long Beach	40' HC (FEU)	$2,540	19
Ningbo – Long Beach	40' HC (FEU)	$2,610	18
Shanghai – Long Beach	20' GP (TEU)	$1,820	18

5. Rate Adjustments and Surcharges

5.1 General Rate Increase (GRI). Carrier shall apply a General Rate Increase of US$400 per FEU (and US$300 per TEU) on all lanes under this Agreement effective July 1, 2026. The GRI reflects transpacific capacity and cost conditions and amends the base rates in Section 4 accordingly for shipments on or after the effective date.

5.2 Peak Season Surcharge (PSS). A Peak Season Surcharge of US$300 per FEU applies to all shipments with an on-board date between June 15 and October 15, 2026.

5.3 Bunker Adjustment Factor (BAF). A floating BAF is published monthly by Carrier and applies to all shipments. The BAF for June 2026 is US$210 per FEU.

5.4 Notice. Except for the GRI and PSS set out above, Carrier shall provide thirty (30) days’ written notice of any new or increased surcharge.

6. Free Time, Demurrage and Detention

Forwarder is allowed four (4) calendar days of free time at destination for container pickup. Demurrage accrues thereafter at US$165 per container per day. Detention on Carrier-owned equipment accrues at US$120 per container per day after five (5) days.

7. Payment Terms

Carrier shall invoice Forwarder per shipment. Payment is due net thirty (30) days from invoice date. Amounts unpaid when due accrue interest at 1.0% per month. Forwarder shall not offset disputed amounts without Carrier's written agreement.

8. Liability

Carrier's liability for loss or damage to cargo is governed by the U.S. Carriage of Goods by Sea Act (COGSA) and is limited to US$500 per package or customary freight unit unless a higher value is declared and an ad valorem charge paid. Carrier is not liable for delay except where caused by its gross negligence.

9. Force Majeure

Neither party is liable for failure to perform due to events beyond its reasonable control, including port congestion, labor action, weather, government action, or carrier network disruption. Affected obligations are suspended for the duration of the event.

10. Governing Law

This Agreement is governed by the laws of the State of California and the applicable maritime law of the United States. Disputes shall be resolved by binding arbitration in Long Beach, California.

Agreed and accepted:

Pacific Blue Lines, Ltd. By: ______________________ Name: Gordon Frey Title: Transpacific Trade Manager

Contoso Freight Group, LLC By: ______________________ Name: Sandra Mills Title: VP, Operations